PRODUCTBEACON

ProductBeacon — State of Workforce Engagement Management 2026: The Performance & Engagement Market

Yohay Etsion

Managing Director, ProductBeacon

2026-07-20

Disclosure: *This is ProductBeacon's independent, impartial market research, based solely on publicly verifiable signals, published on the open web. No vendor sponsors, no paywalled data, no analyst-firm reuse. It reflects ProductBeacon's independent view and is not investment advice. Full independence and sourcing methodology: Methodology →.*

By Yohay Etsion · Managing Director, ProductBeacon · former NICE product leader (Recording / Workforce Optimization), 2008–2021.

Former-employer independence: The author was employed by NICE (9 April 2008 to 20 May 2021), holding senior product-leadership responsibility for the Recording / Workforce-Optimization line of business — the very domain this report grades NICE on — and remains bound by a confidentiality and trade-secret undertaking from that employment; this report relies solely on published material and contains no information derived from that employment, and the author holds no NICE equity.

3.1 What This Market Is

What this market is. Performance & Engagement is the software that turns scored interactions and performance data into **better, more engaged, longer-tenured agents**. It bundles three linked jobs, increasingly AI-driven. **Performance management** covers scorecards, KPIs, targets, and the supervisor's view of the floor. **Gamification & engagement** is challenges, recognition, and motivation: behaviour-change design, not just points and badges. **Coaching** turns an identified gap into targeted, measured improvement. Riding on top is the **wellbeing / attrition** dimension. It is increasingly the market's actual business case: contact-center agent turnover runs ~40–45%, and replacing one agent is widely cited around ~$35K.

The buyer is the supervisor / team-lead. This is the person who runs coaching, lives in the tool all day, and owns whether the floor's output and the agent's tenure improve. The planner buys Workforce Management; the QA auditor buys Quality & Interaction Analytics.

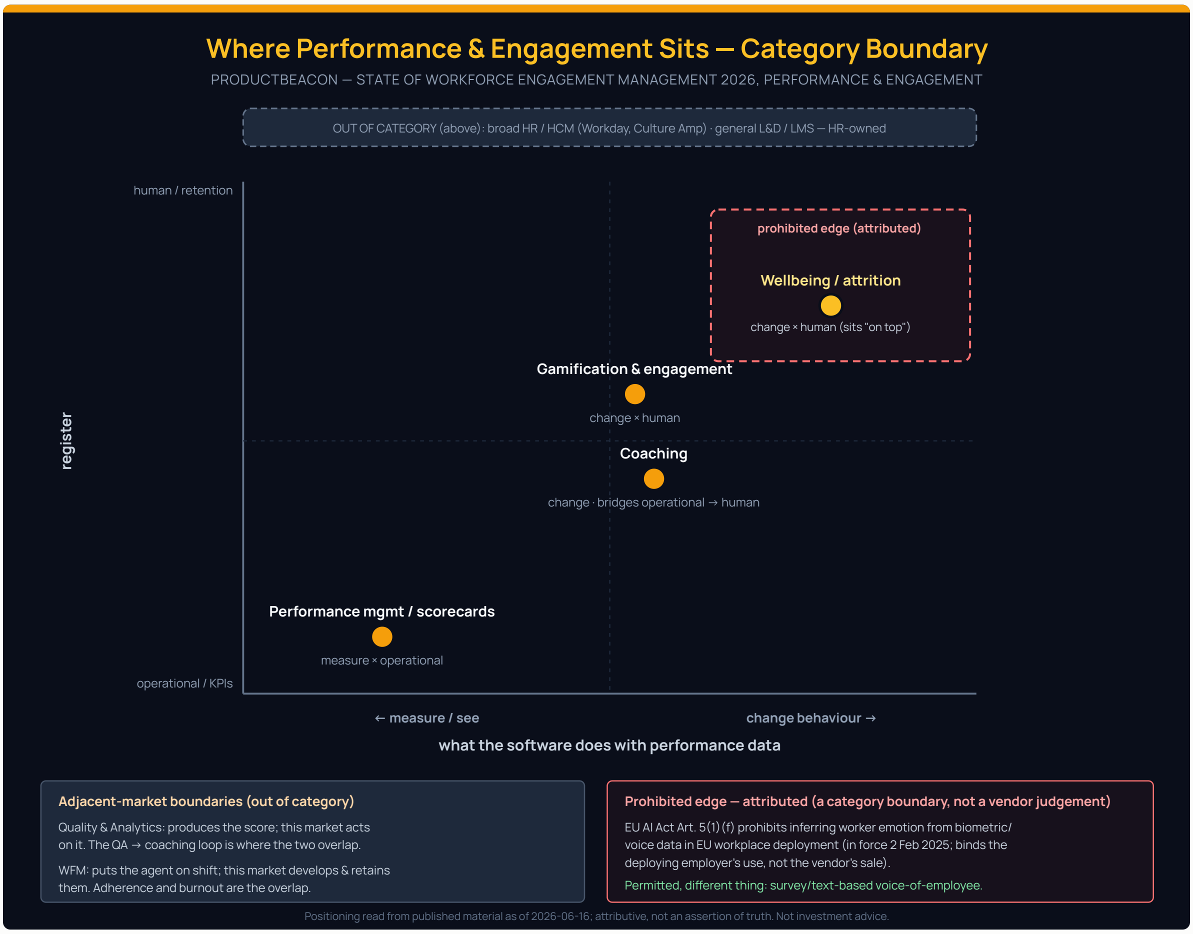
Where the boundaries fall.

- **vs Quality & Analytics:** Quality & Interaction Analytics *produces the score*; this market *acts on it*. The **QA→coaching loop** is where the two overlap. Many vendors sell across it, and we classify them by their separately-positioned product line.
- **vs WFM:** WFM puts the agent *on shift*; this market *develops and retains* them. **Adherence and burnout are the overlap:** schedule flexibility is increasingly sold as a retention lever. That is why Centrical, though adjacent on scheduling, is graded *here* as its primary market.
- **vs broad HR / HCM employee engagement (Workday, Culture Amp):** that is enterprise-wide employee engagement owned by HR; this market is **contact-center-agent-specific** performance, coaching, and engagement, bought by CX ops.

What it IS NOT. This market is not QA scoring; that is Quality & Interaction Analytics. It is not scheduling and adherence mechanics; that is Workforce Management. It is not broad HR/HCM or general learning & development (L&D/LMS) tooling. And it is not a clean single software category at all; Market Size & Trends explains why.

Three common buyer misconceptions.

1. *"Gamification is points and badges."* Superficial gamification fails; what works is behaviour-change design tied to real performance metrics and coaching. The mechanic is the surface, not the product.
2. *"AI can detect an agent's wellbeing or emotion."* This is the market's hard legal and scientific wall. Affect/emotion recognition is **scientifically contested**, and the **EU AI Act (Article 5(1)(f), in force Feb 2025) prohibits inferring worker emotions from biometric/voice data** in the workplace (narrow medical/safety-purpose exceptions aside). Survey/text-based voice-of-employee is a different, permitted thing — do not conflate the two.
3. *"Engagement is a soft, nice-to-have."* It is the **attrition business case**: turnover is a hard, quantified cost, and the market's strongest pitch is reducing it, not "happier agents" in the abstract.



Where Performance & Engagement sits: what the software does with performance data (measure ↔ change behaviour) by register (operational ↔ human / retention), with the adjacent-market boundaries and the attributed emotion-AI prohibited edge. Positioning read from published material as of 2026-06-16; not investment advice.

3.2 Market Size & Trends

Category-scoping note. This market has **no clean public dollar market size**. That absence is the point. Contact-center agent performance & engagement spend splits across three different, non-overlapping public markets that differ by up to ~57×: **call-center gamification** (~$512M/2025)[1], **HR-wide employee-engagement software** (~$1.4B/2026)[2], and **broad cross-industry gamification** (~$29B/2025)[3]. Each measures something different and answers to a different buyer. We do not carve a market-size number out of any of them. Instead we size the market the way the buyer actually buys it: against an **attrition bill**.

The attrition business case (the market's real denominator). Contact-center agent turnover runs ~40–45%, average tenure ~14–15 months[4], and replacing one agent is cited around **~$35K** (Frost & Sullivan via Intradiem)[5]. The supervisor doesn't buy against a market-size number; they buy against that bill. This is why the strongest vendor claims in this market are retention outcomes rather than engagement-for-its-own-sake: Calabrio's "33% more likely to stay," Verint TimeFlex's "up to 30% decreased attrition," and Zenarate's "25% Lower Attrition". *Sizing confidence: medium-low. The grade reflects market reality, not effort: there is no clean dollar category here.*

Trends that move the buyer. (1) **The supervisor's job is being rebuilt around next-best-action:** the tool tells them what to do about an agent today rather than showing a dashboard. (2) **AI-driven coaching + simulation-training** ("rehearse before the floor") opens a sub-category the quality-management (QM) and gamification incumbents address least. (3) **Wellbeing/attrition becomes a named pillar**, but mostly *acquired or partnered*, not built. (4) **Performance management extends from scoring the human agent to scoring the AI agent.**

Compliance: the sharpest legal boundary in the report. The **EU AI Act Article 5(1)(f) (in force 2 Feb 2025) prohibits inferring worker emotions from biometric/voice data in the workplace**[7] (save for narrow medical/safety purposes; penalties up to €35M / 7% of turnover)[6]. The Act's own recital cites "serious concerns about the scientific basis" of emotion recognition[7]. The obligation binds the **EU deploying employer's use**, not the vendor's act of selling. But it directly threatens the EU-deployed "real-time wellbeing/emotion AI" capability vendors are now selling, since voice-tone emotion inference of agents is squarely in scope. AI performance management is separately **high-risk** (Annex III, full obligations Aug 2026)[6]. Survey/text-based voice-of-employee is a *different, permitted* thing and must not be conflated with acoustic emotion inference. The **Colorado AI Act (SB 24/26-205/189) effective date is a moving target**: it moved from 1 Feb 2026 to 30 Jun 2026, then was repealed and re-enacted to 1 Jan 2027.[8] That date is re-verified at publication. *Sources cited inline above were accessed 2026-06-16.*

3.3 The Contenders

Eight contenders are graded on the 3-bucket rubric (cap 8). The three tiers group vendors by market weight: **Gravity** is the largest incumbents that pull the market, **Attention** is the credible mid-players worth watching, and **Wildcard** is the challenger or thin, early entrant. Each card carries a verbatim vendor pillar with its dated URL inline; capability/attrition/outcome figures are quoted as *vendor claims*. AI-positioning reads are publicly-evidenced, never internal-architecture verdicts. **The emotion-AI wall set out in Market Size & Trends is the live constraint on every wellbeing claim here.**

Gravity tier

1. NICE — CXone Mpower Performance Management + Workforce Empowerment (Enlighten). The native module **"aggregates data from NiCE and third-party systems… into one centralized view"** where **"managers, supervisors, and agents gain actionable insights supported by personalized coaching and gamification"** (nice.com)[9]. The 2026 **Workforce Empowerment / Enlighten Actions** pillar reframes it for the AI era: **"manage performance across human and AI agents operating on the same queues,"** with **"personalized coaching assignments generated from interaction and performance data"** (nice.com)[10]. *AI positioning:* GenAI "Copilot for Supervisors" plus AI coaching on the legacy suite; wellbeing surfaces as supervisor-alerting, not biometric inference. **Playvox** (acquired 1 Oct 2024) is a capability *inside* this card. It is a Convergence P1 proxy.

2. Thoma Bravo CX — Verint + Calabrio engagement (Cogito inside). Calabrio's engagement line leads with **"Retain Great Agents and Unleash Their Full Potential"** / **"Your contact center only thrives when its agents do."** It adds gamification, leaderboards, an agent-centric coaching portal, and a vendor-claimed **"agents who receive regular performance insights are 33% more likely to stay"** (calabrio.com)[11]. Verint adds the **TimeFlex Bot** (vendor-claimed "up to 30% decreased attrition").

Cogito, the real-time emotion/EX-coaching vendor, is now *inside* this entity: Verint acquired it on 11 Oct 2024 for $38.2M plus up to $23.2M contingent.[13] The product delivers "a real-time score for both customer experience (CX) and employee experience (EX)."[12] *Note (the emotion-AI wall): Cogito's acoustic emotion/burnout-inference line is the capability EU AI Act Art. 5(1)(f) is widely read to reach in EU workplace deployment — and the prohibition binds the deploying employer's use, not the vendor's sale.* It is the flagship private-equity (PE) roll-up datapoint in this market.

3. Genesys: Cloud Workforce Engagement. The native gamification/performance/development line is "built into the overall platform rather than as a bolt-on" (genesys.com)[14]. Genesys is the lighter-surfaced of the three Gravity suites in this market, but it clears the bar on dated native positioning. It is a Convergence P1 proxy.

Attention tier

4. Centrical: Employee Performance eXperience Platform is the engagement pure-play and the **primary card here**; its Workforce Management overlap resolves to this chapter. Its pillar is **"Go beyond monitoring. Start improving your company's performance at scale,"** unifying advanced gamification, **"performance-driven learning that sticks"** through microlearning, real-time tracking, and AI analytics (centrical.com)[15]. Centrical was named a 2025 SPARK Matrix Workforce-Engagement Leader[15]. *AI positioning:* "AI Performance Experience Platform" — GenAI microlearning plus an AI digital coach on a 2013 gamification heritage. Its **voice-of-employee is survey/text-based (outside the biometric emotion-recognition prohibition)**, explicitly not Cogito-style acoustic inference. Funding: see Funding & Fault-Lines (verified figures).

5. AmplifAI: AI Platform for Performance & CX Management. AmplifAI is the data-unification independent: it promises to **"unify contact center data, drive agent performance… all in one place,"** unifying **"CCaaS, CRM, WFM, voice, chat, and surveys into a single AI-ready layer."** It then uses **"generative AI to deliver role-based next best actions across coaching, quality, recognition, and performance management,"** with a **Coaching Effectiveness Index** to **"measure whether coaching drove measurable improvement"** (amplifai.com)[16]. Its wedge against the suites is "replicate your best agents". It is a Convergence falsification-condition vendor.

6. Spinify: gamification-first. Its pillar, **"See Who's Winning. Fix Who's Not,"** turns CRM data into real-time leaderboards, competitions, recognition, and AI coaching (spinify.com)[17]. *Pricing:* Spinify is among the most transparent here, with published single-plan pricing (spinify.com/pricing, accessed 2026-07-20): Business **$25/user/month billed annually** with a 5-user minimum; Real Estate editions $18/$8; Enterprise flat-rate custom.

Correction at this refresh: the previously-carried "~$9/user/mo, tiers ~$40–65" reflected a page state no longer live. Archive snapshots show the single-plan structure in place by 17 Apr 2026, before the original access date, so the prior figures are corrected as a baseline error, not recorded as a repricing between 16 June and 20 July 2026. Spinify is sales-primary and contact-center-secondary.

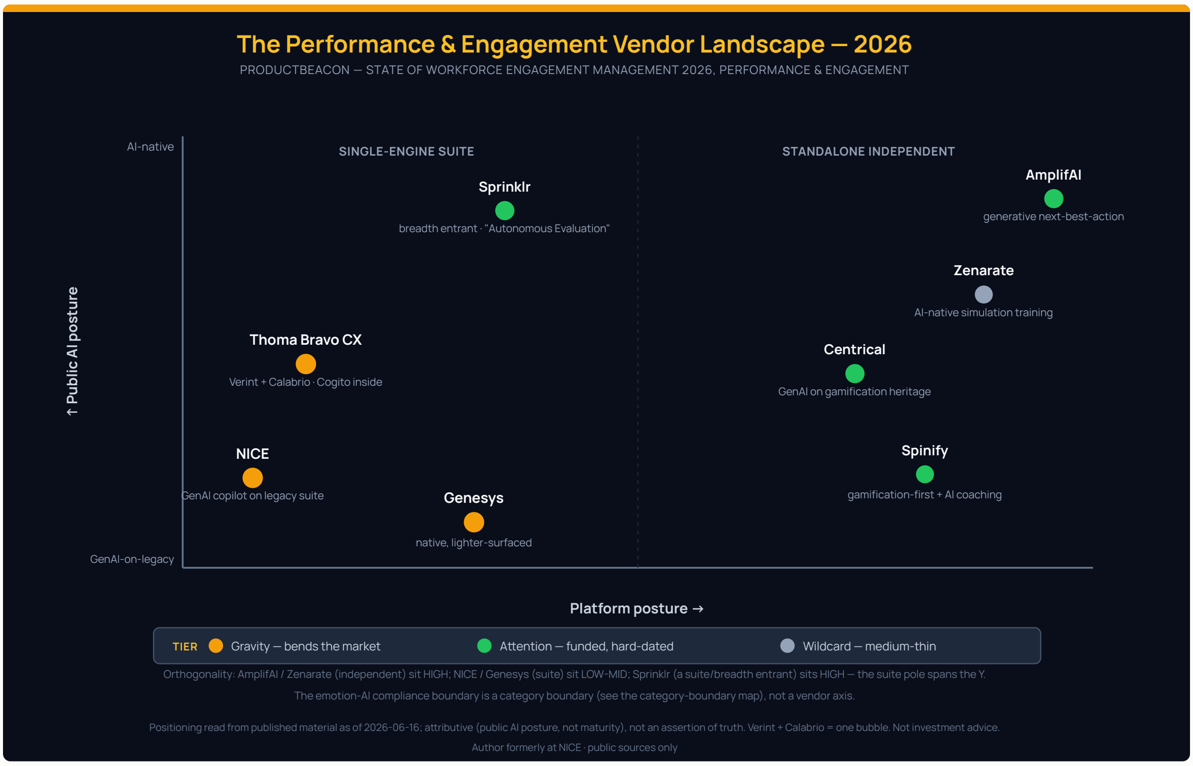
7. Sprinklr: Unified-CXM Service (secondary engagement surface). Sprinklr is public (NYSE: CXM), with engagement secondary to its CXM core. But its dated **Spring '26** release adds **"Autonomous Evaluation… so teams can understand, trust, and continuously refine agent behavior"** (investors.sprinklr.com)[18]. That extends performance/evaluation from human agents toward AI agents. The 20 July 2026 re-check added three events. Sprinklr acquired the assets of **ViralMoment**, an AI social-video-intelligence solution, on 28 May 2026, terms undisclosed (sprinklr.com); the event predates the 16 June 2026 research cut-off and was folded in at this refresh. It shipped a Summer '26 release of 16 AI features, reported by CMSWire around 17 Jul 2026. And it appointed **Thomas Addis** Chief Revenue Officer effective 1 Jul 2026 (BusinessWire).

Sprinklr enters on breadth, not depth.

Wildcard tier

8. Zenarate: AI Coach / Simulation Training. Zenarate is the AI-coaching/simulation wedge. Its pillar is **"AI Conversation & Software Simulation Training + LXP"**, where agents **"practice real conversations before they ever talk to customers"**. It is the "flight simulator" for agents. The vendor-claimed outcomes are "40% Faster Speed to Proficiency" and "25% Lower Attrition" (zenarate.com)[19]. *Material tier:* medium-thin, but a dated primary-source funding event exists ($15M led by Volition Capital, TechCrunch 27 Jun 2023; ~$18M total)[20], so the **viability bright-line anchor is satisfied: strategy opinion permitted, viability verdict withheld.**

Duplicate listings resolved: Cogito is graded inside Thoma Bravo CX (acquired). Cresta and Observe.AI are Agent-Assist Plays: their coaching line is the Quality QM-scoring line, not a separate Performance SKU. Balto is Agent-Assist primary, a Play here.



The Performance & Engagement vendor landscape: platform posture (single-engine suite ↔ standalone independent) by public AI posture (GenAI-on-legacy ↔ AI-native). Verint + Calabrio are one bubble; the emotion-AI compliance boundary is kept to the category map, not a vendor axis. Attributed read of published material, accessed 2026-06-16.

3.4 What the Vendors Are Doing

Play 1: Engagement becomes the empowerment module of one AI platform

NICE's Enlighten Actions pillar reads "manage performance across human and AI agents"[10]; Calabrio's portal ships inside Calabrio ONE[11]; Genesys builds engagement native to the platform[14]. The independents (Centrical, AmplifAI, Spinify) are pushed to defend on depth, data-unification, and outcome-measurement. *This feeds Convergence P1.*

Play 2: The supervisor's job is rebuilt around next-best-action, not dashboards

AmplifAI sells "role-based next best actions" and promises to "replicate high-performer actions with AI"[16]. NICE generates "personalized coaching assignments"[10]. "Dashboard" commoditizes; differentiation migrates to *measured coaching outcomes* and *data unification*.

Play 3: Wellbeing/attrition becomes a named pillar, acquired or partnered, not built

Verint acquired Cogito[13]; Cisco Webex ships burnout detection[21]; Intradiem partners with Thrive Global.

With Cogito absorbed, the standalone wellbeing-AI bench thins, and the EU AI Act emotion-recognition prohibition reshapes what the survivors can claim.

Play 4: AI-coaching/simulation opens a sub-category the suites haven't closed

Zenarate's "flight simulator"[19] anchors the sub-category, and the suites bolt on copilots faster than they build simulators. That makes simulation the most likely Agent-Assist acquisition target, mirroring Workforce Management's thin-middle pattern.

Play 5: Performance/evaluation extends from scoring the human agent to scoring the AI agent

NICE manages "human and AI agents on the same queues"[10]; Sprinklr ships "Autonomous Evaluation"[18]; AmplifAI covers "human + AI agents"[16]. This pulls Performance & Engagement toward Autonomous CX. The shift from paying per agent seat to paying per resolution (the per-seat→per-outcome migration) starts where the agent being managed stops being human.

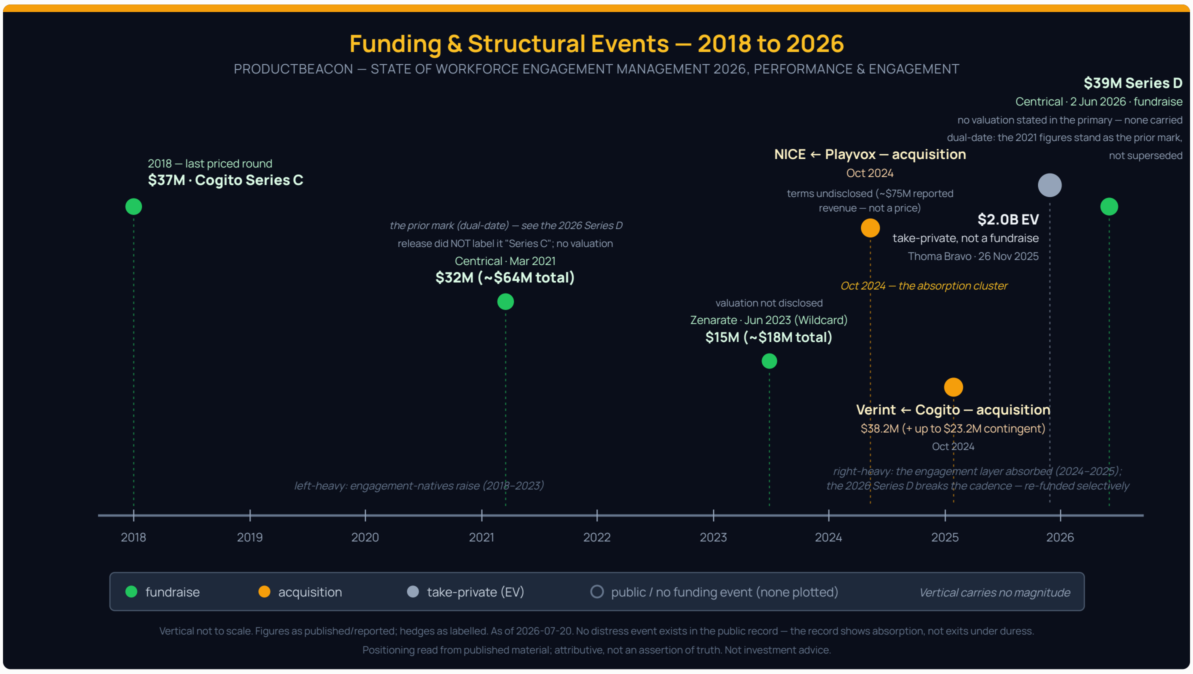
Vendor pages are cited inline in The Contenders, accessed 2026-06-16.

3.5 Funding & Fault-Lines

Vendor	Round / status	Valuation	Investor / acquirer
NICE	Public; engagement asset = Playvox (closed into NICE 1 Oct 2024, terms undisclosed, ~$75M reported revenue)[22]	Public equity	Acquirer
Thoma Bravo CX (Verint+Calabrio)	Take-private closed 26 Nov 2025[23]; **Cogito acquired by Verint 11 Oct 2024 ($38.2M + up to $23.2M contingent)**[13]	$2.0B EV (Verint)[24]	Thoma Bravo
Centrical	**$39M Series D, 2 Jun 2026** (Leeds Illuminate + Kingfisher Investment, participation JVP); prior mark **$32M, 10 Mar 2021**[25] (Intel Capital + JVP; **that release did NOT label it "Series C"**); ~$103M total (arithmetic on verified rounds)	Not disclosed (no valuation stated in either primary)	Leeds Illuminate, Kingfisher, JVP (+ Intel Capital, 2021)
AmplifAI	Private; funding not deeply public this pass	Not disclosed	—
Spinify	Thin / bootstrapped, no verifiable primary round	—	—
Zenarate (Wildcard)	$15M, 27 Jun 2023 (~$18M total)[20]	Not disclosed	Volition Capital
Sprinklr	Public (NYSE: CXM); acquired assets of ViralMoment (28 May 2026, undisclosed)	Public equity	—

Two consolidation engines, plus a funding-cadence tell, partially revised at this refresh. The structure is the same NICE-organic vs Thoma-Bravo-PE-roll-up split. Performance & Engagement's distinctive signal *had been* that the **independent performance-natives were mostly running on pre-2022 capital**: Centrical raised in 2021[25], Cogito's last priced round was 2018, before its acquisition[27], and Zenarate raised in 2023[20]. Meanwhile the engagement layer gets *absorbed* into suites: Verint took Cogito, and NICE took Playvox. The 20 July 2026 re-check partially broke the first half of that read: **Centrical closed a $39M Series D on 2 June 2026** (see the Fault-lines correction below). That is new primary capital into the performance-native middle. The absorption half of the read stands; the "isn't being re-funded" half is retired, contradicted by a primary event. What remains is the thinner claim: the middle is being re-funded *selectively*, while the engagement layer continues to be absorbed.

Fault-lines (disclosed, not guessed). Centrical's funding — our own initial working figure of "$45M Series C" was an internal-brief error, not a Centrical claim. The primary release says **$32M, co-led by Intel Capital and JVP, no valuation, ~$64M total, and is not labeled "Series C"** — corrected here (LL-2 / verify-primary discipline). **Update (as of 2026-07-20):** Centrical announced a **$39M Series D on 2 June 2026** (company release + GlobeNewswire; led by Leeds Illuminate and Kingfisher Investment, with participation from JVP, the company's largest shareholder; no valuation stated in the primary — none carried). The 2021 figures above stand as the prior mark, not superseded (dual-date / verify-primary discipline). **Cogito's "$45M" floating in aggregators is a cumulative, not a single round**: its priced Series C was $37M (Goldman, 2018)[27]; the Oct-2023 round closed undisclosed; the acquisition was $38.2M (11 Oct 2024)[13]. Spinify is thin/bootstrapped[26] and carries **no viability claim. No discrete agent-wellbeing/attrition M&A or funding event exists in the public record**: wellbeing is a feature-theme inside coaching suites, not a separately-funded segment, and nothing is asserted there. *Funding sources are cited inline above, accessed 2026-06-16.*



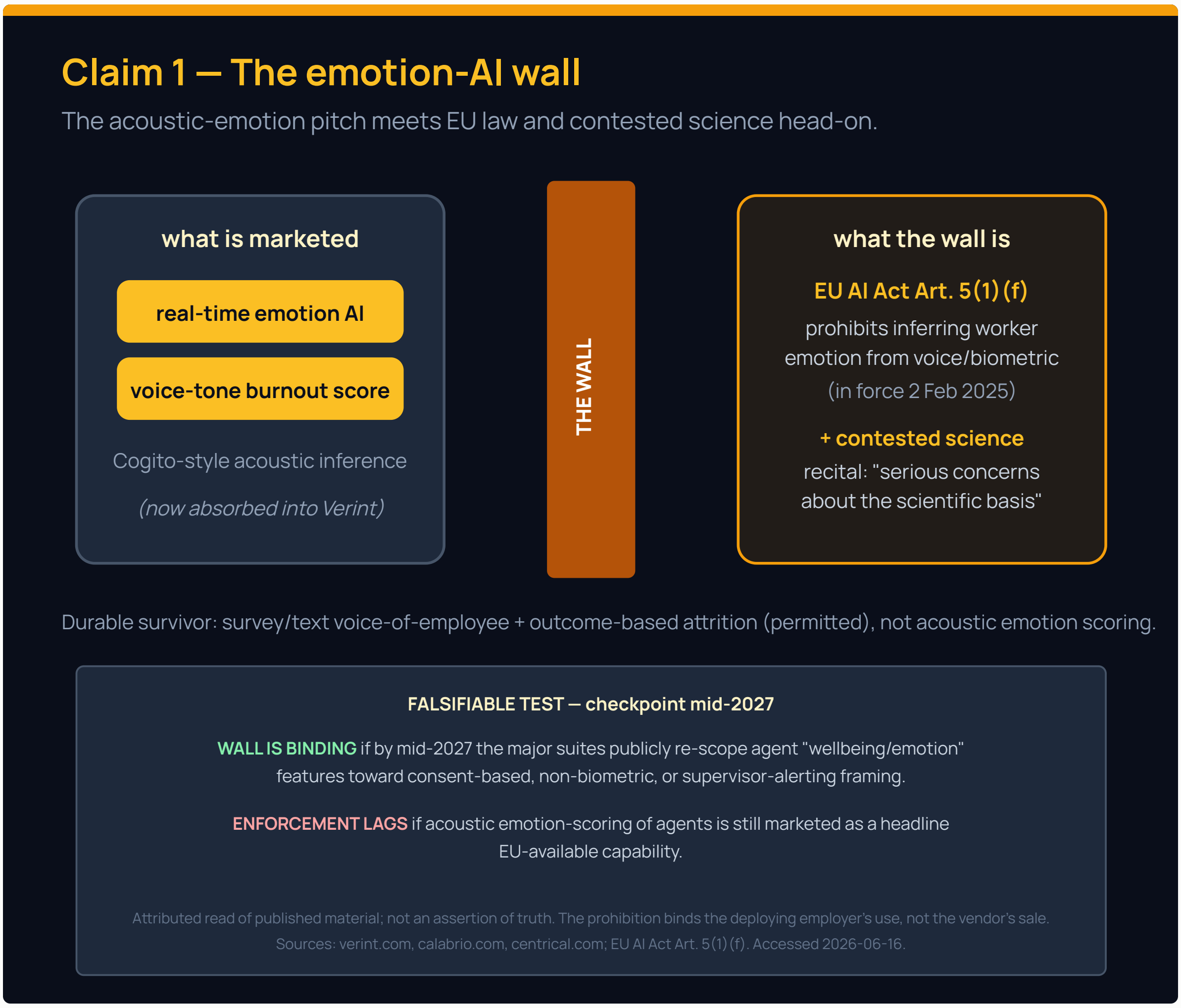
Funding & structural events, 2018–2026: the engagement-natives raise early, the engagement layer is absorbed late. Figures as published/reported with hedges as labelled; vertical not to scale; no distress event exists in the public record. As of 2026-07-20.

3.6 Winning & Losing

The three pattern-claim callouts below are my read of where this market is heading. Each is anchored to public evidence already cited in this chapter, framed explicitly as opinion, and put as a falsifiable prediction with a dated checkpoint an outsider can watch.

Pattern Claim 1 — The Emotion-AI Wall

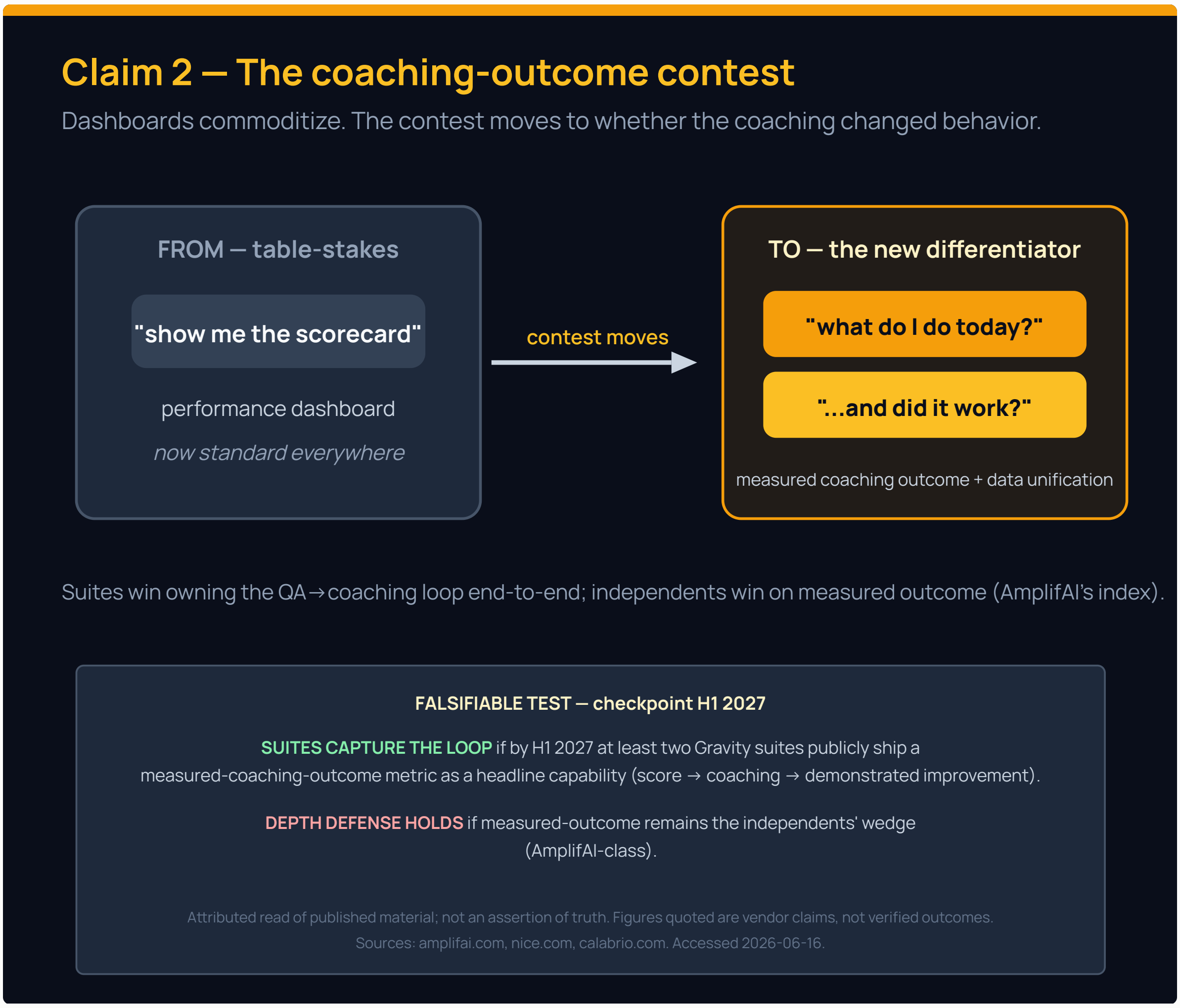
Observation. Vendors increasingly market "real-time agent wellbeing/emotion" detection (Cogito's CX/EX scoring and burnout-inference; suite wellbeing pillars)[12]. Yet the **EU AI Act Article 5(1)(f) (in force 2 Feb 2025) prohibits inferring worker emotions from biometric/voice data**[7] (up to €35M/7%)[6], and the Act's recital cites "serious concerns about the scientific basis."[7] Meanwhile, the leading emotion-AI pure-play (Cogito) has been absorbed into Verint/Thoma Bravo CX (11 Oct 2024)[13]. **My read.** The acoustic-emotion-inference pitch is on a collision course with EU law and contested science at the same moment its category leader stops being independent. The durable survivor is **survey/text-based voice-of-employee and outcome-based attrition reduction** (permitted, evidence-backed), not real-time emotion scoring of agents — and vendors that lump the two will have to separate them. **Conditional prediction.** If by mid-2027 the major suites have publicly re-scoped their agent "wellbeing/emotion" features toward consent-based, non-biometric, or supervisor-alerting framing (and away from automated emotion inference), the wall is binding. If acoustic emotion-scoring of agents is still marketed as a headline EU-available capability, enforcement is lagging the marketing. **Sources.** The emotion-AI wall set out in Market Size & Trends, plus vendor wellbeing pages accessed 2026-06-16: verint.com, calabrio.com, centrical.com.



The emotion-AI wall: the acoustic-emotion pitch meets the EU AI Act Article 5(1)(f) prohibition and contested science. Attributed read of published material; the prohibition binds the deploying employer's use, not the vendor's sale, and this is a category boundary, not a vendor judgement.

Pattern Claim 2 — The Coaching-Outcome Contest

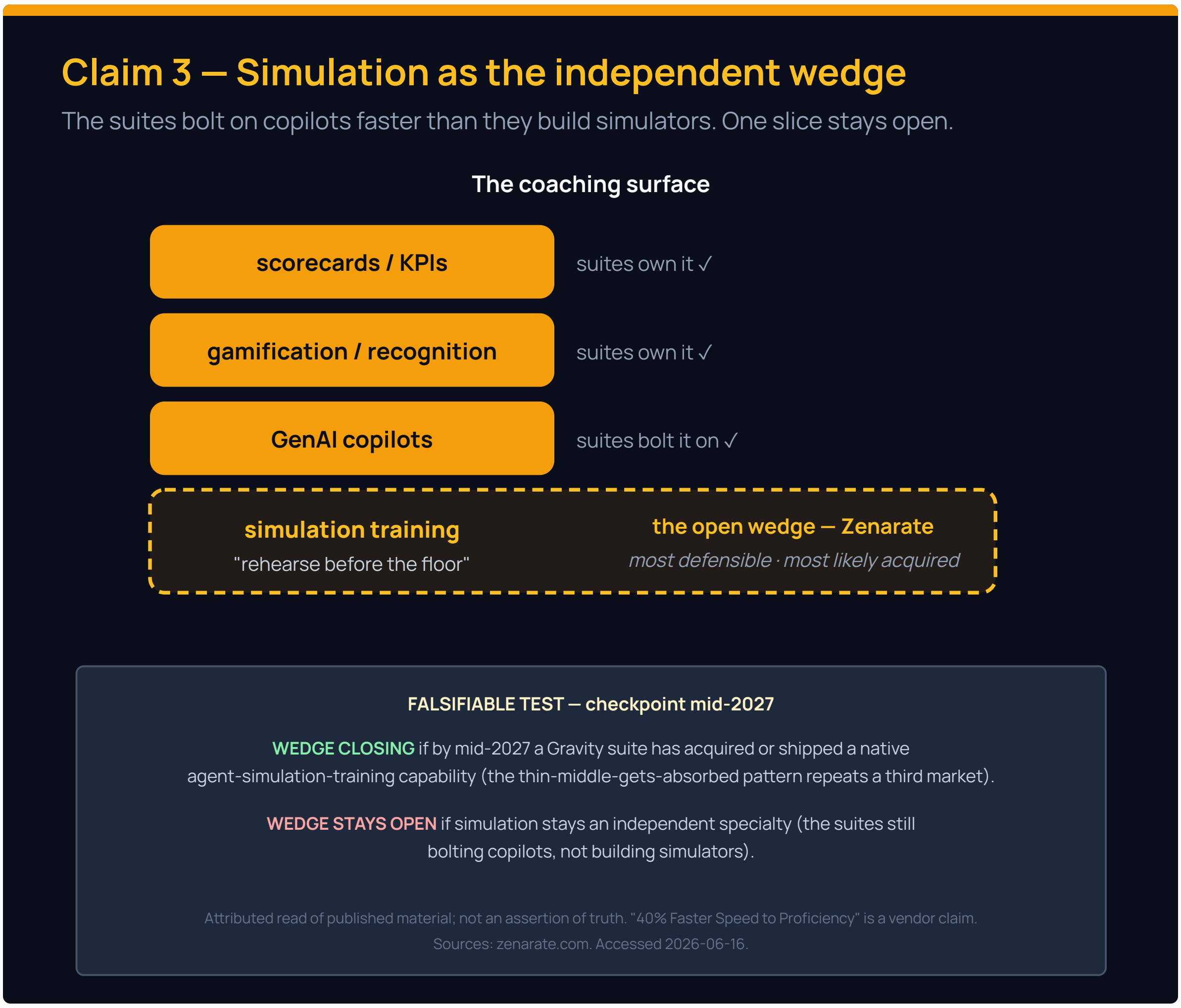
Observation. Performance dashboards are now table-stakes across suites and independents. The differentiation is moving to *whether the coaching changed behavior* and to *data unification*. AmplifAI markets a "Coaching Effectiveness Index"[16] and unifies "CCaaS, CRM, WFM, voice, chat, and surveys"[16]. NICE markets "coaching assignments generated from… performance data"[10]. **My read.** The supervisor's question is shifting from "show me the scorecard" to "what do I do about this agent today, and did it work." The suites win on owning the QA→coaching loop end-to-end: the Quality & Interaction Analytics score becomes Performance & Engagement action on one platform. The independents win on *measured* coaching outcomes and on seeing data the single-suite buyer's stack can't. **Conditional prediction.** If by H1 2027 at least two Gravity suites publicly ship a *measured-coaching-outcome* metric as a headline capability, the suites have captured the loop, closing it from score to coaching to demonstrated improvement. If measured-outcome remains the independents' wedge (AmplifAI-class), the depth defense holds. **Sources.** Vendor performance/coaching pages, accessed 2026-06-16: amplifai.com, nice.com, calabrio.com.



The coaching-outcome contest: the supervisor's question shifts from "show me the scorecard" to "what do I do today, and did it work." Figures shown are vendor claims, attributed to dated pages.

Pattern Claim 3 — Simulation as the Independent Wedge

Observation. "Rehearse before the floor" AI-simulation training is the one engagement/coaching slice the QM/gamification incumbents address least directly. Zenarate's "flight simulator," with its vendor-claimed "40% Faster Speed to Proficiency", anchors the slice[19]. And the modern coaching-middle is thin and acquirable, mirroring Workforce Management's Tymeshift/Surfboard pattern. **My read.** Simulation-training is the most defensible independent wedge in this market through 2026 because the suites bolt on copilots faster than they build simulators. That also makes it the most likely Agent-Assist acquisition target. The attrition business case set out in Market Size & Trends is what funds it. **Conditional prediction.** If by mid-2027 a Gravity suite has acquired or shipped a native agent-simulation-training capability, the wedge is closing, and the thin-middle-gets-absorbed pattern repeats in a third market. If simulation stays an independent specialty, the suites are still bolting copilots, not building simulators. **Sources.** The simulation-training wedge and funding set out in What the Vendors Are Doing and Funding & Fault-Lines: zenarate.com, accessed 2026-06-16.



Simulation as the independent wedge: the one coaching slice the suites address least, and by this read the most likely Agent-Assist acquisition target. Vendor-claimed outcomes are attributed, not verified.

Winners

NICE and Thoma Bravo CX. In my read, the two Gravity suites win by owning the QA→coaching loop end-to-end: the Quality & Interaction Analytics score flows into Performance & Engagement action on one platform. NICE's Enlighten Actions reach across human and AI agents[10], and Calabrio's agent-retention framing anchors the Thoma Bravo entity here. Both are Gravity-tier cards in The Contenders.

AmplifAI and Centrical. I see the strongest independents holding the depth line: AmplifAI on data-unification and measured coaching outcomes, Centrical as the engagement pure-play (both Attention-tier cards). They win the buyer who wants coaching that is demonstrably working and data the single-suite stack cannot see.

Watch

Zenarate. I'd watch the simulation-training wedge: the "rehearse before the floor" slice the suites address least, and by my read the most defensible independent position in this market through 2026. That same fact makes it the most likely Agent-Assist acquisition target; its card and dated funding event in The Contenders are the evidence. The squeeze signal, my read as opinion: Cresta shipped a Training Simulator using AI-agent simulated customers on 9 Jul 2026, after the research cut-off (cresta.com/PRNewswire), and performance vendors are shipping AI role-play. The standalone simulation-training premise is being approached from two directions. But no Gravity *suite* has yet shipped or acquired native simulation, so Pattern Claim 3's conditional has not fired.

The agent-wellbeing claim itself. I'd watch what survives the emotion-AI wall. The EU AI Act's Article 5(1)(f) prohibition and contested science are reshaping every real-time "wellbeing/emotion" pitch, and the category's leading pure-play, Cogito, is now inside a suite[13]. The durable version, by my read, is survey/text-based voice-of-employee and outcome-based attrition reduction, not acoustic emotion scoring of agents.

Sprinklr. I'd watch the breadth entrant extending evaluation from human agents toward AI agents ("Autonomous Evaluation," Spring '26)[18]. That is an Agent-Assist-into-Autonomous CX blur more than a core engagement play.

Losers

I am not naming a loser in this market, and I will not manufacture one. Funding & Fault-Lines found no named, dated, public distress event for any contender. What the record shows instead is absorption: the standalone wellbeing and emotion-AI bench thinning as Cogito was acquired into Verint (11 Oct 2024) and Playvox folded into NICE — capable assets bought into suites, not exits under duress. The genuinely contested question, what the emotion-AI wall leaves standing, sits under Watch, not here.

3.7 The Road Ahead (H2 2026 watchlist)

1. **EU AI Act emotion-recognition enforcement** (Art. 5(1)(f)) and the **Colorado AI Act effective date** (re-verify, it has moved three times), the live legal reshaping of every agent-wellbeing/emotion claim.
2. **The next wellbeing/coaching acquisition** after Verint acquired Cogito: whether another emotion-AI or coaching independent is absorbed (Pattern Claim 3's checkpoint).
3. **Measured coaching outcomes** becoming a headline suite capability (Pattern Claim 2's checkpoint): the QA→coaching loop captured end-to-end.
4. **AI-agent performance/evaluation** ("score the AI agent") maturing: Performance & Engagement blurring into Autonomous CX and the per-seat→per-outcome migration.
5. **Simulation-training** staying independent vs being acquired/built into a suite (Pattern Claim 3's checkpoint).

1. Data Insights Market, "Call Center Gamification Software Market" — call-center gamification software ~USD 512M (2025), CAGR 8.9% (report internally inconsistent — also cites 21.2%; directional floor only). Accessed 2026-06-16. https://www.datainsightsmarket.com/reports/call-center-gamification-software-1433914 ↩

2. Fortune Business Insights, "Employee Engagement Software Market Size & Share [2034]" — ~USD 1.43B (2026), ~15.30% CAGR (HR-wide envelope, adjacent buyer). Accessed 2026-06-16. https://www.fortunebusinessinsights.com/employee-engagement-software-market-107130 ↩

3. Mordor Intelligence, "Gamification Market — Industry Trends, Size 2031 Report" — USD 29.11B (2025) at 25.24% CAGR to 2031 (broad cross-industry envelope; "HR & Training" fastest sub-use-case at 27.9%). Accessed 2026-06-16. https://www.mordorintelligence.com/industry-reports/gamification-market ↩

4. Insignia Resources, "Call Center Turnover Rates: 2026 Industry Average" — turnover ~40–45% annually (55–60% high-stress sectors); average agent tenure ~14–15 months. Accessed 2026-06-16. https://www.insigniaresource.com/research/call-center-turnover-rates/ ↩

5. Intradiem, "The Cost of Attrition in Contact Centers" — replacing a single agent costs up to ~$35,000, attributed to Frost & Sullivan; a 1,000-agent center at 40% turnover ~$10M/yr. Accessed 2026-06-16. https://intradiem.com/resources/blog/the-cost-of-attrition-in-contact-centers/ ↩

6. Bryq, "EU AI Act: What HR and Hiring Teams Must Do Before August 2026" — workplace emotion-recognition ban effective 2 Feb 2025; AI performance management high-risk under Annex III with full obligations from 2 Aug 2026; penalties up to €35M / 7% of global turnover. Accessed 2026-06-16. https://www.bryq.com/blog/eu-ai-act-2026 ↩↩↩

7. Future of Privacy Forum, "Red Lines under the EU AI Act: the prohibition of emotion recognition in the workplace and education institutions" — Article 5(1)(f) prohibits inferring employee emotions from biometric/voice data in the workplace (voice-tone in scope; narrow medical/safety exceptions), and cites the Act's recital concern over the scientific basis of emotion recognition. Accessed 2026-06-16. https://fpf.org/blog/red-lines-under-eu-ai-act-unpacking-the-prohibition-of-emotion-recognition-in-the-workplace-and-education-institutions/ ↩↩↩↩

8. Proskauer "Law and the Workplace," "Major Developments Put Colorado's AI Law on Ice Ahead of Implementation" — Colorado AI Act effective date 1 Feb 2026 → 30 Jun 2026 → SB 26-189 repeal-and-reenact to 1 Jan 2027 (moving target — re-verify at publication). Accessed 2026-06-16. https://www.lawandtheworkplace.com/2026/05/major-developments-put-colorados-ai-law-on-ice-ahead-of-implementation/ ↩

9. NICE, "CXone Mpower Performance Management (native)" product/resource page, accessed 2026-06-16. https://www.nice.com/resources/cxone-mpower-performance-management-native ↩

10. NICE, "Workforce Empowerment / Enlighten Actions" product page, accessed 2026-06-16. https://www.nice.com/products/workforce-empowerment ↩↩↩↩↩↩

11. Calabrio, "Employee Engagement Platform," accessed 2026-06-16. https://www.calabrio.com/employee-engagement-platform/ ↩↩

12. Verint, "Cogito" (now part of Verint) product page, accessed 2026-06-16. https://www.verint.com/cogito/ ↩↩

13. CX Today, "Verint Acquires Cogito, Develops a Bot That Scores Live Customer Conversations" (Verint acquired Cogito 11 Oct 2024, $38.2M + up to $23.2M contingent), accessed 2026-06-16. https://www.cxtoday.com/contact-center/verint-acquires-cogito-develops-a-bot-that-scores-live-customer-conversations/ ↩↩↩↩↩↩

14. Genesys, "Genesys Cloud" platform page (workforce engagement), accessed 2026-06-16. https://www.genesys.com/genesys-cloud ↩↩

15. Centrical, "Performance Management" platform page (2025 SPARK Matrix Workforce-Engagement Leader recognition noted on-page), accessed 2026-06-16. https://centrical.com/platform/performance-management/ ↩↩

16. AmplifAI, homepage / performance & CX management platform, accessed 2026-06-16. https://www.amplifai.com/ ↩↩↩↩↩

17. Spinify, homepage (gamification + AI coaching), accessed 2026-06-16. https://spinify.com/ ↩

18. Sprinklr, “Sprinklr Unveils Next Wave of AI-Native Customer Service” — Spring '26 (26.4) release, “Autonomous Evaluation,” investors.sprinklr.com, accessed 2026-06-16. https://investors.sprinklr.com/news/press-releases/detail/252/sprinklr-unveils-next-wave-of-ainative-customer ↩↩↩

19. Zenarate, homepage (AI Conversation & Software Simulation Training + LXP; vendor-claimed outcomes), accessed 2026-06-16. https://www.zenarate.com/ ↩↩↩

20. TechCrunch, “Zenarate, an AI-powered agent coaching platform, raises $15M” (led by Volition Capital, 27 Jun 2023; ~$18M total), accessed 2026-06-16. https://techcrunch.com/2023/06/27/zenarate-an-ai-powered-agent-coaching-platform-raises-15m/ ↩↩↩

21. Cisco Webex, “Improve agent wellbeing and performance with burnout detection and wellness breaks” (help center article), accessed 2026-06-16. https://help.webex.com/en-us/article/l5eu0c/Improve-agent-wellbeing-and-performance-with-burnout-detection-and-wellnessbreaks ↩

22. CX Today, “Playvox Confirms NICE Takeover with a Name Change” (Playvox closed into NICE 1 Oct 2024, terms undisclosed, ~$75M reported revenue), accessed 2026-06-16. https://www.cxtoday.com/workforce-engagement-management/playvox-confirms-nice-takeover-with-a-name-change/ ↩

23. Thoma Bravo, “Thoma Bravo Completes Acquisition of Verint, a Leader in AI-Driven Customer Experience Automation” (take-private closed 26 Nov 2025; merged with Calabrio), accessed 2026-06-16. https://www.thomabravo.com/press-releases/thoma-bravo-completes-acquisition-of-verint-a-leader-in-ai-driven-customer-experience-automation ↩

24. Verint press room, “Verint Agrees to Be Acquired by Thoma Bravo for $2 Billion” ($2.0B EV, $20.50/share, agreed 25 Aug 2025), accessed 2026-06-16. https://www.verint.com/press-room/2025/verint-agrees-to-be-acquired-by-thoma-bravo-for-2-billion/ ↩

25. PR Newswire, “Employee-Centric Success Platform Centrical Closes $32 Million Funding Round Led by Intel Capital and JVP” (10 Mar 2021; round not labeled “Series C”; no valuation disclosed), accessed 2026-06-16. https://www.prnewswire.com/il/news-releases/employee-centric-success-platform-centrical-closes-32-million-funding-round-led-by-intel-capital-and-jvp-301244427.html ↩↩

26. Tracxn, Spinify company profile — no verified public primary funding round located; reported bootstrapped (aggregator only, no amount asserted). Accessed 2026-06-16. https://tracxn.com/d/companies/spinify/__1BxPLzgz80oG-PYBEqetZERrNOVq_Ne4VaLZpeinCU ↩

27. TechCrunch, “Cogito scores $37 million Series C as customer service sentiment analysis biz grows” (led by Goldman Sachs Growth Equity, 23 Jul 2018), accessed 2026-06-16. https://techcrunch.com/2018/07/23/cogito-scores-37-million-series-c-as-customer-service-sentiment-analysis-biz-grows/ ↩↩

Disclosures

DISCLOSURE.

This is ProductBeacon's independent, impartial market research, based solely on publicly verifiable signals, published on the open web. No vendor sponsors, no paywalled data, no analyst-firm reuse. It reflects ProductBeacon's independent view and is not investment advice. Full independence and sourcing methodology: Methodology →.

NOT ADVICE.

This report does not constitute investment, legal, tax, or accounting advice. No claim should be relied upon as the basis for any investment decision. The author holds no trading position in any named public security and is not compensated by any named vendor. Readers who use this report in investment contexts bear sole responsibility for their decisions.